

		Defendant's request that the Court strike the entire Second Amended Complaint and the 22 exhibits attached to it is denied, as this was not properly noticed. <u>Punitive damages</u> Civil Code § 3294 provides that punitive damages may be awarded in an action for breach of an obligation not arising from contract, if the plaintiff proves by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. "Malice" means conduct that is intended to cause injury or despicable conduct that is carried on with a willful and conscious disregard of the right and safety of others. (Civ. Code § 3294(c)(1).) Civ. Code, § 3294(b) provides: An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation. Plaintiffs allege no facts to support liability on the part of AGL pursuant to § 3294(b), such as ratification, knowledge, etc. Therefore, the motion is granted without leave to amend. While Plaintiffs request leave to amend, they do not articulate how they could amend to state sufficient facts. <u>Attorney fees</u> Attorney's fees are recoverable by a party only if specifically provided for by a statute or law, or if authorized by an express agreement between the parties. (Code Civ. Proc., §§ 1021, 1033.5, subd. (a)(10)(A)-(C); Civ. Code, § 1717; see also <i>Nasser v. Superior Court</i> (1984) 156 Cal.App.3d 52, 56 ("Absent an agreement or statute, a party is generally precluded from recovery of attorney fees."); <i>Reynolds Metals Co. v. Alperson</i> (1979) 25 Cal.3d 124, 127.) There is no basis (contract, statute, law) for attorney fees against AGL, in light of Plaintiffs' failure to allege facts to support their civil theft claims against AGL. Accordingly, the request for attorney fees as to AGL is stricken. The status conference re: payment of sanctions by attorney Anthony J. Francisco is vacated. The case management conference is continued to December 14, 2026 at 10:00 a.m. in Department C27. Defendant AGL is ordered to give notice of all rulings set forth above.
112	2025-01531902	1. Demurrer to Complaint 2. Motion to Strike Portions of Complaint

Garza vs. Eagle
Propco 6, LLC

3. Case Management Conference

4. Order to Show Cause re: Sanctions for Failure to File Case Management Statement

The general and special demurrer by Defendant Eagle Propco 6 LLC ("Defendant") to the third and fifth causes of action alleged in the Complaint filed by Plaintiffs Raul Garza, Alessandra Garza, and Alissa Garza (collectively, "Plaintiffs") is overruled in part and sustained in part with 15 days leave to amend. Defendant's motion to strike punitive damages allegations, prayer for punitive damages, and prayer for attorneys' fees is moot in part, denied in part, and granted in part with 15 days leave to amend.

As an initial matter, the Court notes the parties did not comply with CCP section 1013b. The Court reminds the parties of their obligation to comply with section 1013b when electronically serving documents.

DEMURRER

Third cause of action for intentional infliction of emotional distress

The elements to plead a cause of action for intentional infliction of emotional distress are: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (*Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832.)

"Behavior may be considered outrageous if a defendant (1) abuses a relation or position that gives him power to damage the plaintiff's interests; (2) knows the plaintiff is susceptible to injuries through mental distress; or (3) acts intentionally or unreasonably with the recognition that the acts are likely to result in illness through mental distress. . . ." (*Molko v. Holy Spirit Ass'n* (1988) 46 Cal. 3d 1092, 1122 (superseded by statute on other grounds).)

"The law intervenes only where the distress inflicted is so severe that no reasonable man could be expected to endure it. The intensity and duration of the distress are factors to be considered in determining the severity." (*Fletcher v. Western Life Insurance Co.* (1970) 10 Cal.App.3d 376, 397.) "Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community." (*Davidson v. City of Westminster* (1982) 32 Cal.3d 197, 209.)

"Discomfort, worry, anxiety, upset stomach, concern, and agitation" as the result of defendant's conduct do not constitute emotional distress of "such substantial quality or enduring quality that no reasonable [person] in civilized society should be expected to endure it." (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 105.) "[O]rdinary defendants are not liable for mere insult, indignity, annoyance, or even threats, where the case is lacking in other circumstances of aggravation. The reasons are not far to seek. Our manners, and with them our law, have not yet progressed to the point where we are able to afford a remedy in the form of tort damages for all intended mental disturbance. Liabilities of course cannot be extended to every trivial indignity.... Accordingly, it is generally held that there can be no recovery for mere profanity, obscenity, or abuse, without circumstances of aggravation, or for insults, indignities or threats which are considered to amount to nothing more than mere annoyances. The plaintiff cannot recover merely because of hurt feelings." (*Yurick v. Superior Court* (1989) 209 Cal.App.3d 1116, 1128.)

In addition, it is "not enough that the conduct be intentional and outrageous. It must be

conduct directed at the plaintiff, or occur in the presence of a plaintiff of whom the defendant is aware.” (*Christensen v. Superior Court* (1991) 54 Cal.3d 868, 903.)

Plaintiffs alleged sufficient facts to state this cause of action. (Complaint, ¶¶ 2-4, 6, 7, 14-16, 19, 20, 31-35, 37, 38, 40-45, 51-53, 78, 79, and 81-89.) Demurrer is overruled.

Fifth cause of action for fraudulent concealment

“The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.)

The elements for a cause of action for deceit by concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248.)

“A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent.” (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 867.)

Every element of fraud must be pleaded with specificity. The particularity requirement for fraud requires the pleading of facts showing how, when, where, to whom, and by what means the representations were made. (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 73.) This is to provide the defendant with notice and to give the court enough information to assess whether there is a foundation for the charge of fraud. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216.) The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) Nonetheless, “[l]ess specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.” (*Committee on Children’s Television*, 35 Cal. 3d at 216 [citation and internal quote marks omitted].)

Plaintiffs did not allege sufficient facts with the required specificity to state this cause of action. Demurrer is sustained with 15 days leave to amend.

Uncertainty

A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly’s of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Errors and confusion created by “the inept pleader” are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (*Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908.) A demurrer for uncertainty should be overruled if the facts are presumptively within defendant’s knowledge. (*Khoury*, 14 Cal.App.4th at 616.) A party attacking a pleading on

“uncertainty” grounds must specify how and why the pleading is uncertain, and where that uncertainty can be found in the challenged pleading. (*Fenton v. Groveland Community Services Dept.* (1982) 135 Cal.App.3d 797, 809, disapproved on other grounds in *Katzberg v. Regents of the University of California* (2002) 29 Cal.4th 300.) Here, the third and fifth causes of action are not so unintelligible that Defendant cannot reasonably respond. Any ambiguities can be clarified through discovery. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *Khoury*, 14 Cal.App.4th at 616.) Accordingly, the demurrer on this ground is overruled.

MOTION TO STRIKE

Defendant seeks an order striking punitive damages allegations in paragraphs 47, 48, 66, 68, 76, 77, 79, 82, 96, 104, and 111, Plaintiff’s prayer for punitive damages in paragraph 115, and Plaintiffs’ prayer for attorneys’ fees from Plaintiffs’ Complaint.

General legal authority

Pursuant to Code of Civil Procedure section 436, the Court may:

- (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.
- (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.

“The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).)

“[J]udges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.)

Attorneys’ fees

Attorneys’ fees are generally not recoverable unless specifically provided for by statute or subject to an express agreement between the parties. (*D’Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 25; Code Civ. Proc., §§ 1021 and 1717.) Plaintiffs did not show attorneys’ fees are recoverable in this action. Defendant’s motion is granted with 15 days leave to amend.

Punitive damages

Plaintiffs may recover exemplary damages in an action for the breach of an obligation not arising from contract if Plaintiffs proves by clear and convincing evidence that Defendant is “guilty of oppression, fraud, or malice.” (Civ. Code § 3294, subd. (a).) Malice is defined as “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code § 3294, subd. (c)(1).) Oppression is defined as “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civ. Code § 3294, subd. (c)(2).) Fraud is defined as “an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294, subd. (c)(3).)

Punitive damages cannot be pled in conclusory terms, instead the facts supporting a claim for punitive damages must be set out clearly, concisely, and with particularity. (*Smith v. Superior Court* (1992) 10 Cal.App.4th 1033, 1041-1042.) However, “it has long been recognized that ‘(t)he distinction between conclusions of law and ultimate facts is not at all clear and involves at most a matter of degree.’” (*Perkins v. Superior Court* (1981) 117

Cal.App.3d 1, 6.) “What is important is that the complaint as a whole contain sufficient facts to apprise the defendant of the basis upon which the plaintiff is seeking relief.” (*Id.*) In ruling on a motion to strike, the Court should “read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255; *See Perkins*, 117 Cal.App.3d at 6 [“stricken language must be read not in isolation, but in the context of the facts alleged in the rest of petitioner’s complaint.”].)

“When the defendant is a corporation, ‘[a]n award of punitive damages against a corporation...must rest on the malice of the corporation’s employees.’” (*Wilson v. Southern California Edison Co.* (2015) 234 Cal.App.4th 123, 164 [citing *Cruz v. HomeBase* (2000) 83 Cal.App.4th 160, 167].)

Paragraphs 104 and 111

In light of the ruling above, Defendant’s motion to strike paragraphs 104 and 111 is moot.

Paragraphs 47 and 48

Defendant moves to strike the phrase, “caused by the intentional, malicious, willful and reckless conduct” in paragraphs 47 and 48. Defendant did not show this language is subject to strike. Motion is denied.

Paragraphs 66, 68, 76, and 96

Defendant moves to strike the phrase, “knowingly, intentionally, and willfully” in paragraphs 66, 68, 76 and 96. Defendant did not show this language is subject to strike. Motion is denied.

Paragraph 77

Defendant did not show this entire paragraph is subject to strike. Motion is denied.

Paragraph 79

Defendant did not show this entire paragraph is subject to strike. Motion is denied.

Paragraph 82

Defendant did not show this entire paragraph is subject to strike. Motion is denied.

Paragraph 115

Plaintiffs did not allege facts with the required specificity to support their prayer for punitive damages against an entity. Motion is granted with 15 days leave to amend.

The case management conference is continued to December 14, 2026 at 10:00 a.m. in Department C27. The Order to Show Cause re sanctions for failure to file a case management conference statement is discharged.

Defendant is ordered to give notice.